

Contestant Number: _____

Time: _____

Rank: _____



Health Insurance & Medical Billing (605)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Matching (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Form Completion (50 @ 1 point each) _____ (50 points)

TOTAL POINTS: _____ (100 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Participant must hand in this test booklet and all printouts, if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

Multiple Choice

Directions: Identify the letter of the choice that best completes the statement or answers the question.

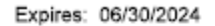
1. Which type of health insurance plan generally requires members to select a primary care physician (PCP) who coordinates all of their healthcare needs and referrals to specialists?
 - A. Health Maintenance Organization (HMO)
 - B. Preferred Provider Organization (PPO)
 - C. Exclusive Provider Organization (EPO)
 - D. Point of Service (POS)
2. What is the primary responsibility of a guarantor in the context of medical billing?
 - A. To provide medical treatment to patients
 - B. To ensure patient safety during procedures
 - C. To assume financial responsibility for paying medical bills
 - D. To oversee administrative tasks in a healthcare facility
3. What is the purpose of medical coding in healthcare administration?
 - A. To maintain patient confidentiality
 - B. To facilitate communication between healthcare providers
 - C. To track inventory levels and manage supply chain logistics
 - D. To ensure accurate billing and reimbursement for medical services
4. How does prior authorization impact the healthcare reimbursement process?
 - A. It speeds up the reimbursement process by eliminating the need for insurance verification
 - B. It delays patient access to certain medical services until approval is obtained from the insurance provider
 - C. It increases the out-of-pocket cost for patients by requiring upfront payment for services
 - D. It decreases the administrative burden for healthcare providers by automating claims
5. Which HIPAA transaction format is used for the submission of healthcare claims from providers to payers?
 - A. 837
 - B. 270/271
 - C. 835
 - D. 276/277

6. Which HIPAA transaction format allows providers to check a patient's eligibility and benefits with their insurance plan before providing services?
 - A. 837
 - B. 270/271
 - C. 835
 - D. 276/277
7. ICD-10-CM Codes always start with a letter.
 - A. True
 - B. False
8. In ICD-10-CM, X and Z are used as placeholders.
 - A. True
 - B. False
9. In ICD-10-CM, the decimal is placed after the 2nd or 3rd character/digit.
 - A. True
 - B. False
10. In ICD-10-PCS, all codes have a decimal.
 - A. True
 - B. False
11. What is a characteristic of an indemnity health insurance plan?
 - A. Requires patients to pay fixed copayments for all medical services
 - B. Provides coverage for preventive care services only
 - C. Offers flexibility in choosing healthcare providers without referrals
 - D. Reimburses patients for a percentage of covered medical expenses
12. What is the purpose of designating a guarantor in the medical billing process?
 - A. To assign responsibility for providing medical treatment to patients
 - B. To ensure proper documentation of patient medical records
 - C. To identify the individual or entity responsible for paying medical bills
 - D. To facilitate communication between healthcare providers and insurance companies
13. What does the term "premium" refer to in health insurance?
 - A. The maximum amount a policyholder is required to pay out-of-pocket for medical expenses in a year
 - B. The fee paid to the insurance company to maintain coverage
 - C. The percentage of covered medical expenses that the insurance company reimburses
 - D. The fixed amount a patient pays for each medical service received

14. How does a deductible affect a health insurance plan?
- A. It represents the percentage of covered medical expenses that the insured individual must pay
 - B. It is the maximum amount a policy holder is required to pay out-of-pocket for medical expenses in a year
 - C. It is the fixed amount a patient pays for each medical service received
 - D. It is the amount that must be paid by the insured individual before the insurance company begins to cover expenses
15. What does the term “out of pocket maximum” signify in health insurance?
- A. The fixed amount a patient pays for each medical service received
 - B. The maximum amount a policyholder is required to pay out-of-pocket for medical expenses in a year
 - C. The percentage of covered medical expenses that the insurance company reimburses
 - D. The fee paid to the insurance company to maintain coverage

Matching: Match the term or abbreviation with the best definition.

- _____ 1. M54.50
- _____ 2. 00H00MZ
- _____ 3. J7321
- _____ 4. 99213
- _____ 5. 450
- _____ 6. Superbill
- _____ 7. Clean claim
- _____ 8. Preauthorization
- _____ 9. Charge Description Master (CDM)
- _____ 10. Revenue codes
- A. An internal form used by healthcare providers to document services provided to patients, including diagnosis and procedure codes, for billing purposes.
- B. Example of a CPT code.
- C. Example of an ICD-10-PCS code.
- D. The process of obtaining approval from an insurance company before certain medical services or procedures are performed to ensure coverage and reimbursement.
- E. A claim that has no errors and can be processed promptly by the insurance payer.
- F. A compressive list of charges for each service, supply, and prescription drug provided by a healthcare facility.
- G. Example of HCPCS code.
- H. Example of a Revenue code.
- I. Example of an ICD-10-CM code.
- J. Codes used by institutional healthcare providers to identify specific categories of services or items such as room and board, laboratory tests, or operating room services.

PHYSICIAN OR SUPPLIER INFORMATION